

5-Bed HMO (with conversion) | Asking Price £325,000

Victoria Terrace, Exeter | 5 Bedrooms inc. conversion | Bills Excluded

1. PROPERTY & PURCHASE ASSUMPTIONS

	Value	
Purchase price	£325,000	
LTV (loan-to-value)	75%	
Mortgage interest rate (p.a.)	5.50%	
Management fee rate	12%	
Void allowance (weeks/room/year)	3	

2. RENTAL INCOME PROJECTION

	Monthly (£)	Annual (£)
Bedroom 1 (large, bay window)	£625	£7,500
Bedroom 2	£575	£6,900
Bedroom 3 (small)	£525	£6,300
Bedroom 4	£575	£6,900
Bedroom 5 (converted living room)	£550	£6,600
Gross monthly income	£2,850	£34,200

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)	
Full kitchen replacement	£7,000	
Bathroom refurb (existing)	£4,000	
Second bathroom addition	£7,500	
Fire doors throughout	£3,500	
Interlinked smoke/heat alarms	£1,200	
Full redecoration throughout	£4,500	
Carpet replacement throughout	£3,000	
Garden clearance	£600	
Living room → 5th bedroom conversion	£6,500	
Subtotal (before contingency)	£37,800	
Contingency (15%)	£5,670	
TOTAL REFURBISHMENT	£43,470	

4. TOTAL CASH REQUIRED		
	Amount (£)	
Deposit (25%)	£81,250	
Refurbishment (total)	£43,470	
Stamp duty (SDLT)	£20,000	
Legal fees	£2,000	
Survey / valuation	£600	
Mortgage broker fee	£500	
Sourcing fee (if applicable)	£3,500	
TOTAL CASH REQUIRED	£151,320	

5. ANNUAL RUNNING COSTS		
	Monthly (£)	Annual (£)
Mortgage interest	£1,117	£13,406
Management fee	£342	£4,104
HMO licence (amortised)	£13	£160
Landlord / HMO insurance	£70	£840
Maintenance reserve	£130	£1,560
Void allowance	£164	£1,973
TOTAL ANNUAL COSTS	£1,837	£22,043

6. RETURNS ANALYSIS		
	Value	Benchmark
Gross yield	10.52%	8.00%
Net annual income		£12,157
Net yield	3.74%	6.00%
Monthly net cash flow		£1,013
Cash-on-cash ROI	8.03%	8.00%
Break-even occupancy	64.45%	

7. DEAL VERDICT		
Gross yield vs 8% target		✓ PASSES
Net yield vs 6% target		✗ FAILS
ROI vs 8% target		✓ PASSES

	Notes

	Notes

	Assessment

	need AP adjustments